SUMMARY · MK 3 MARKETING MANAGEMENT · WEEK 4

Business Markets (B2B) & Business Buyer Behavior

Business buyers differ from consumers: few but large, decisions by many people (the buying center), formal processes, and risk matters a lot. This week covers B2B market traits, influences, buying situations, the business buying process and B2B Elements of Value. The case is close to home: WIKA selling to Antam while in selective default.

Material

1 What business markets are and how they differ

Business markets buy to produce other goods/services; volumes dwarf consumer markets. Traits: fewer, larger buyers; derived, inelastic and fluctuating demand; interdependence; professional, informed buyers. B2B segmentation uses industry, size, location, purchasing approach, situational factors and buyer characteristics.

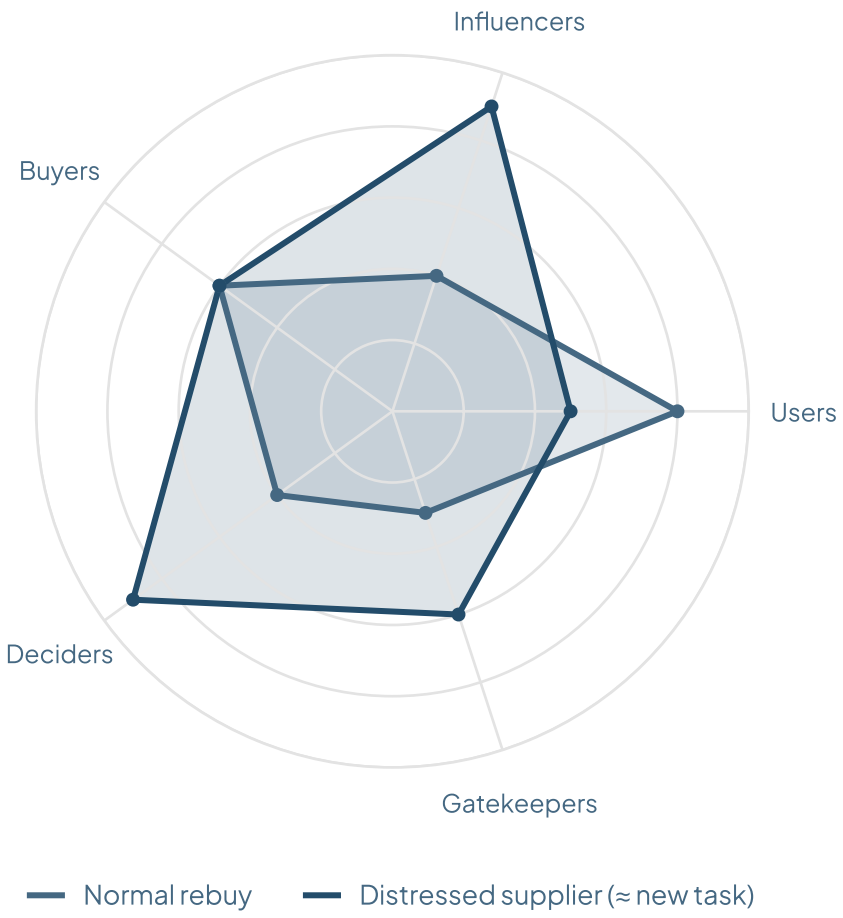
2 The buying center: who's involved

Buying center roles: users, influencers, buyers, deciders, gatekeepers. Classic error: building ties only with users while others decide. Economic factors (price, service) and personal factors (emotion, personal risk, reputation) both count.

3 The buying center in an EPC tender: who holds which vote

Deep dive

Role influence: healthy incumbent vs distressed supplier (conceptual)



Conceptual: power shifts to risk-focused influencers and deciders.

Role	Concern	WIKA message
Users	Quality, timing	Track record
Influencers	Counterparty risk	Mitigation plan
Buyers	Terms	Contract structure
Deciders	Survival over 25 months	Financing certainty
Gatekeepers	Compliance	Transparency

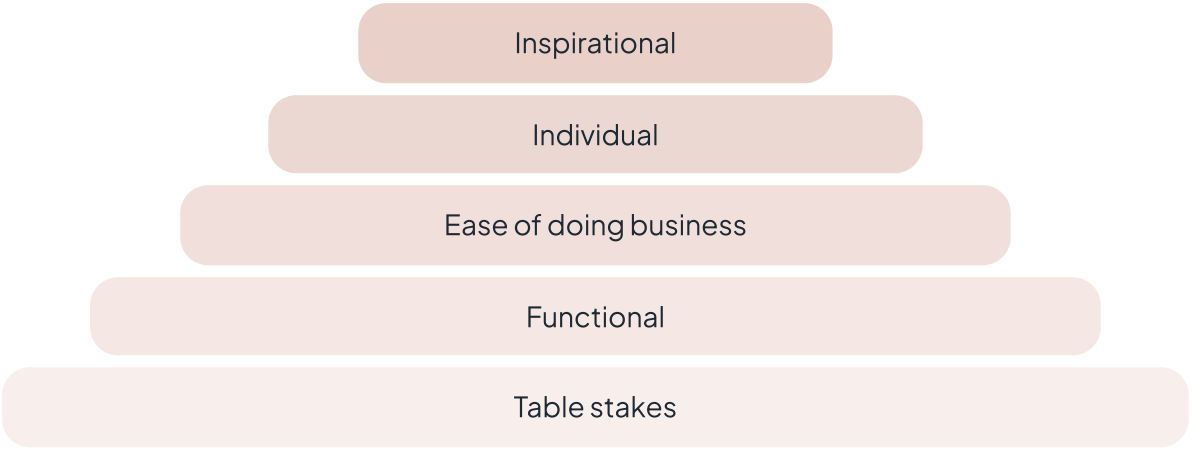
4 Influences, buying situations and process

Influences: environmental, organizational, interpersonal, individual (incl. risk attitude). Situations: straight rebuy, modified rebuy, new task. Process: problem recognition → general need → specification → supplier search → proposals → selection → order routine → performance review.

5 The B2B Elements of Value (Almquist et al., HBR 2018)

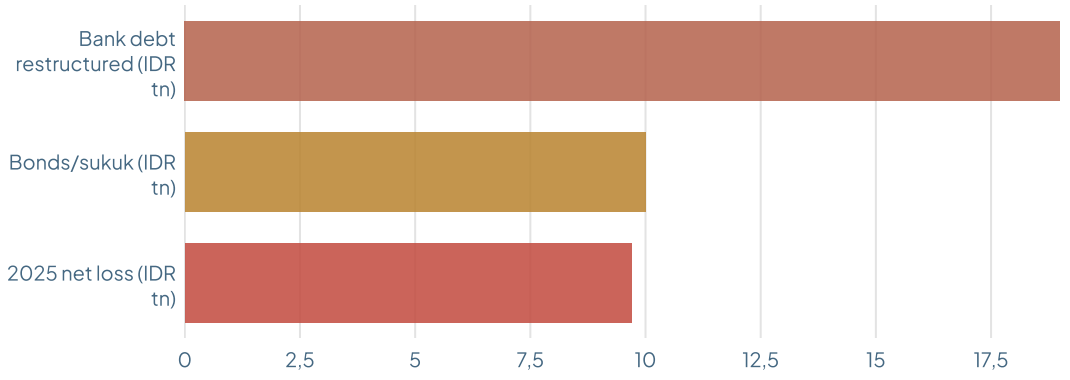
Bain's **40 B2B elements** form a pyramid: table stakes (specs, price, compliance, ethics) → functional (economic, performance) → ease of doing business (productivity, access, relationship, operational, strategic incl. reduced risk and stability) → individual (reduced anxiety, reputational assurance, career) → inspirational (vision, hope, social responsibility). B2B decisions aren't purely rational; personal elements often decide close contests, and risk/stability dominate when a supplier is in doubt.

6 The B2B Elements of Value pyramid Deep dive



Individual value (career risk) often decides B2B purchases; for WIKA, risk reduction is critical.

WIKA's financial position as the buying center sees it



7 B2B vs B2C side by side, and the buygrid: eight stages × three situations

Aspect	Consumer market (B2C)	Business market (B2B)
Number of buyers	Very many, each small	Few but large (a handful of customers can be 50% of revenue)
Demand	Directly from personal needs	**Derived** — demand for cement depends on construction projects
Price elasticity	Relatively elastic	Often **inelastic** in the short run (a factory still needs inputs even if prices rise)
Fluctuation	More stable	More volatile — a small change in consumer demand can cause a big change in demand for capital goods
Decision maker	Individual/household	Buying centre (user, influencer, buyer, decider, gatekeeper)
Process	Shorter, often emotional	Formal, long, documented (specifications, tenders, contracts)
Relationship	Transactional	Interdependent, long-term, often co-designed

The buygrid (Robinson, Faris & Wind) combines the eight stages of business buying with the three buying situations. Not every stage is used in every

situation:

Stage	New task	Modified rebuy	Straight rebuy
1. Problem recognition	Yes	Maybe	No
2. General need description	Yes	Maybe	No
3. Product specification	Yes	Yes	Yes
4. Supplier search	Yes	Maybe	No
5. Proposal solicitation	Yes	Maybe	No
6. Supplier selection	Yes	Maybe	No
7. Order-routine specification	Yes	Maybe	No
8. Performance review	Yes	Yes	Yes

≡ **What it means for sellers**

An **"in" supplier** (already used) wants the buyer to stay in straight rebuy: keep quality steady and automate reorders. An **"out" supplier** wants to trigger a modified rebuy: offer something new (price, technology, service) so the buyer reopens the choice. For a new task — such as WIKA's EPC tender — the seller must be present from stages 1–3, because whoever helps write the specification has a big advantage.

Systems selling / solution selling: business buyers often prefer buying one solution package from one supplier (design + procurement + construction = EPC) rather than separate components. **E-procurement** (procurement portals, government e-catalogues, online auctions) makes the process faster and more transparent, but also pushes price competition — so sellers need to stress value beyond price (B2B Elements of Value).

Key takeaways

1. B2B: few large buyers; derived, inelastic, fluctuating demand.
2. Buying center: users, influencers, buyers, deciders, gatekeepers.
3. Influences: environmental, organizational, interpersonal, individual.
4. Situations: straight rebuy, modified rebuy, new task.
5. B2B elements: table stakes → functional → ease of business → individual → inspirational.
6. B2B decisions are emotional too: reduce anxiety, protect reputations.
7. When a supplier is in doubt, reduced risk and stability beat technical skill.

Case studies

Case & worked answers

WIKA & the Building EPC Champion Program (2026): selling to a risk-sensitive buying center

Situation: WIKA bids for Antam's sixth EPC tender with strong user satisfaction but in selective default, shares suspended, a ~IDR 9.7tn 2025 loss and a second restructuring, now ~90% owned by Danantara. Can it finance and finish a 25-month contract?

Analysis: a habitual rebuy is shifting toward new-task scrutiny; WIKA's evidence comes only from users while deciders (finance, risk committee, perhaps Danantara) are unreached; buyers are concentrated and well informed; individuals fear blame — reduced anxiety and reputational assurance now decide; WIKA is weak precisely on reduced risk and stability.

Disclosure: be proactive with verifiable mitigants (Danantara backing, first-stage restructuring, second-stage plan, new contracts, non-core divestments).

Structural fixes: performance and advance-payment bonds, ring-fenced project accounts, milestone payments, Danantara comfort letters or a consortium with a healthy partner; map and reach the buying center with role-specific materials; fix quality supervision and preventive planning; move BD toward cross-functional key account management. Supplier solvency is an unspoken precondition in B2B.

Practice questions

Try answering first. The answer key is below each question.

1. The role controlling information flow is…

A. Users
B. Deciders
C. Gatekeepers
D. Influencers

Answer: C. Gatekeepers.

2. A distressed incumbent shifts the buy situation towards…

A. Straight rebuy
B. New task
C. No change
D. Impulse

Answer: B. More people, deeper evaluation.

3. The base of the B2B pyramid is…

A. Inspirational
B. Table stakes
C. Individual
D. Ease

Answer: B. Specs, fair price, compliance, ethics.

4. B2B demand is derived demand, meaning…

A. Set by ads
B. Comes from end-consumer demand
C. Always stable
D. Unaffected by the economy

Answer: B. Smelters follow nickel demand.

5. Why isn't satisfaction from Antam's project managers enough?

A. They aren't users
B. Deciders and risk influencers now decide
C. Past projects failed
D. Price too low

Answer: B. Counterparty risk changed.

Sources

- -P3MD- Week 4–MK3.pdf
- WIKA and the Building EPC Champion Program (SBM-ITB)
- The B2B Elements of Value (HBR)
- Kotler & Armstrong bab 6